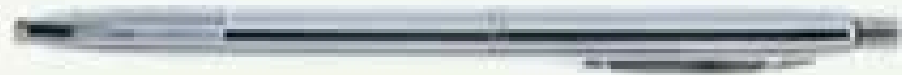


Kundenorientiertes Commodity-Pricing No Frills Business Model



Simplicity, no frills.



The Amino Resins Value Chain

Natural
gas



Ammonia



Urea



Melamine



Methanol



Formaldehyde



Amino Resins

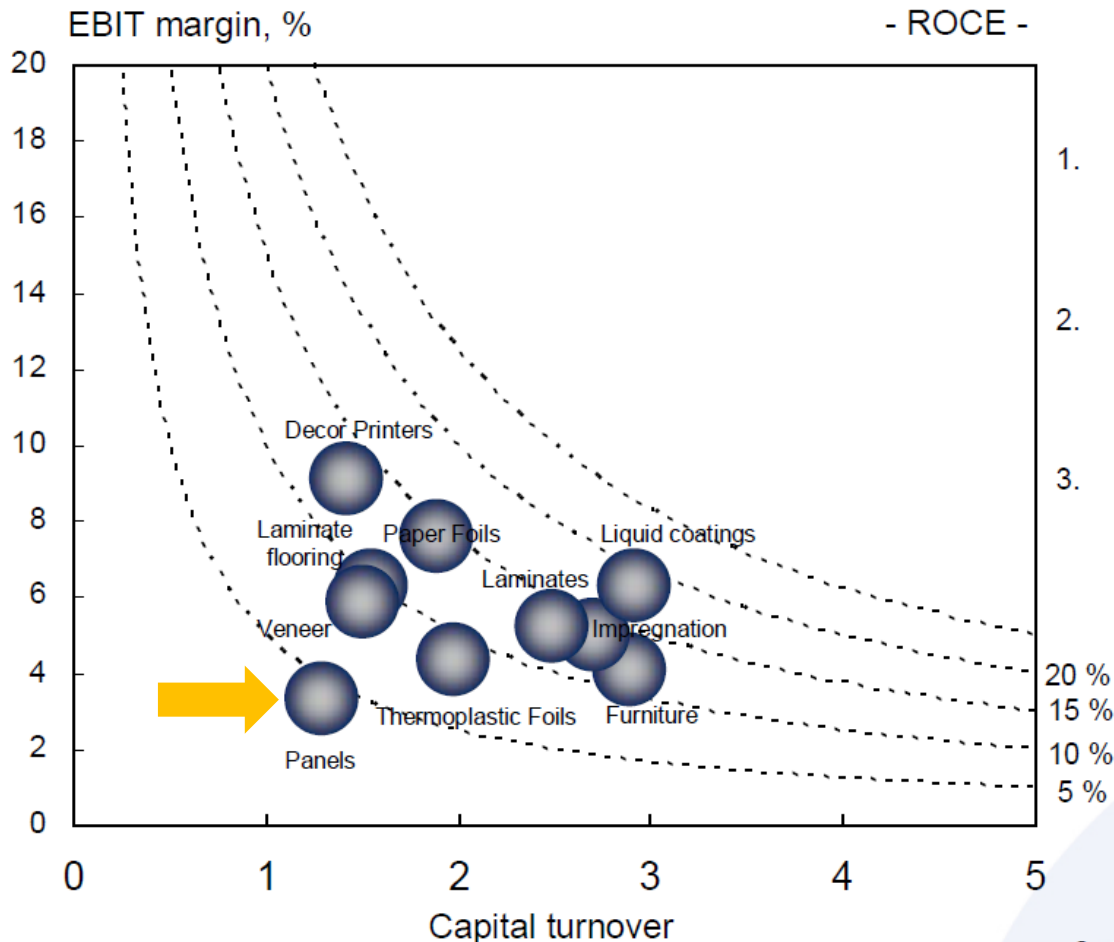
Almost every furniture contains products from BASF...

BASF
The Chemical Company



Value chain profitability Wood-Working Industry

The chain creates value but key participants are currently under pressure

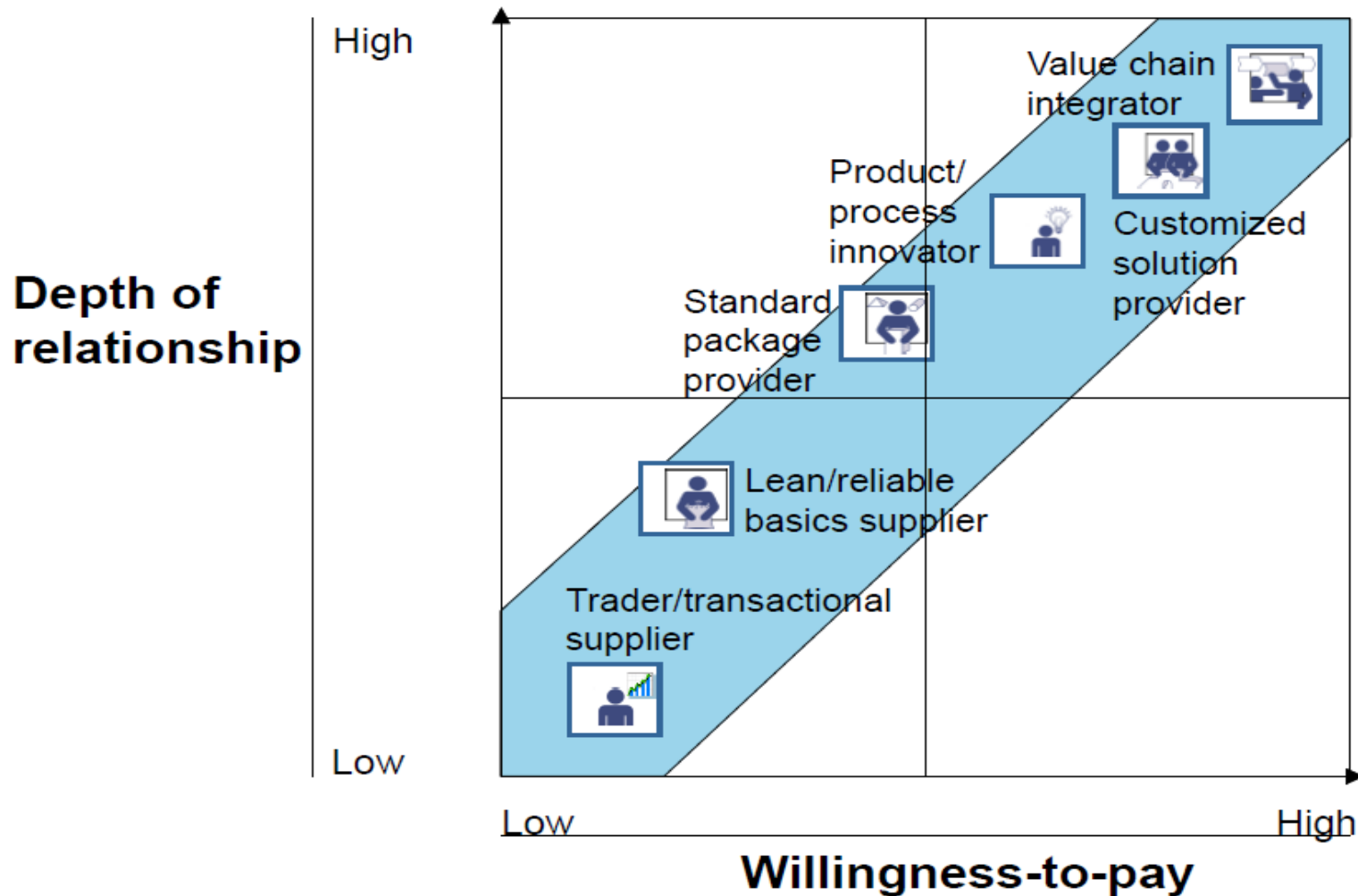


1. The positions of the bubbles represent an average of a sample of companies for a period of 2004-2008/9.
2. The standard deviation from the average can be wide as there can be significant differences between the companies in the same group.
3. The variation in operating margins depends on level of integration, scale, geographical presence, market segment focus etc.

Source: The Global Panel Surfacing Business Report, Pöyry 2010

The Panel Industry is the least profitable part of the value chain.

Customer focused commodity pricing? ...are you serious?!

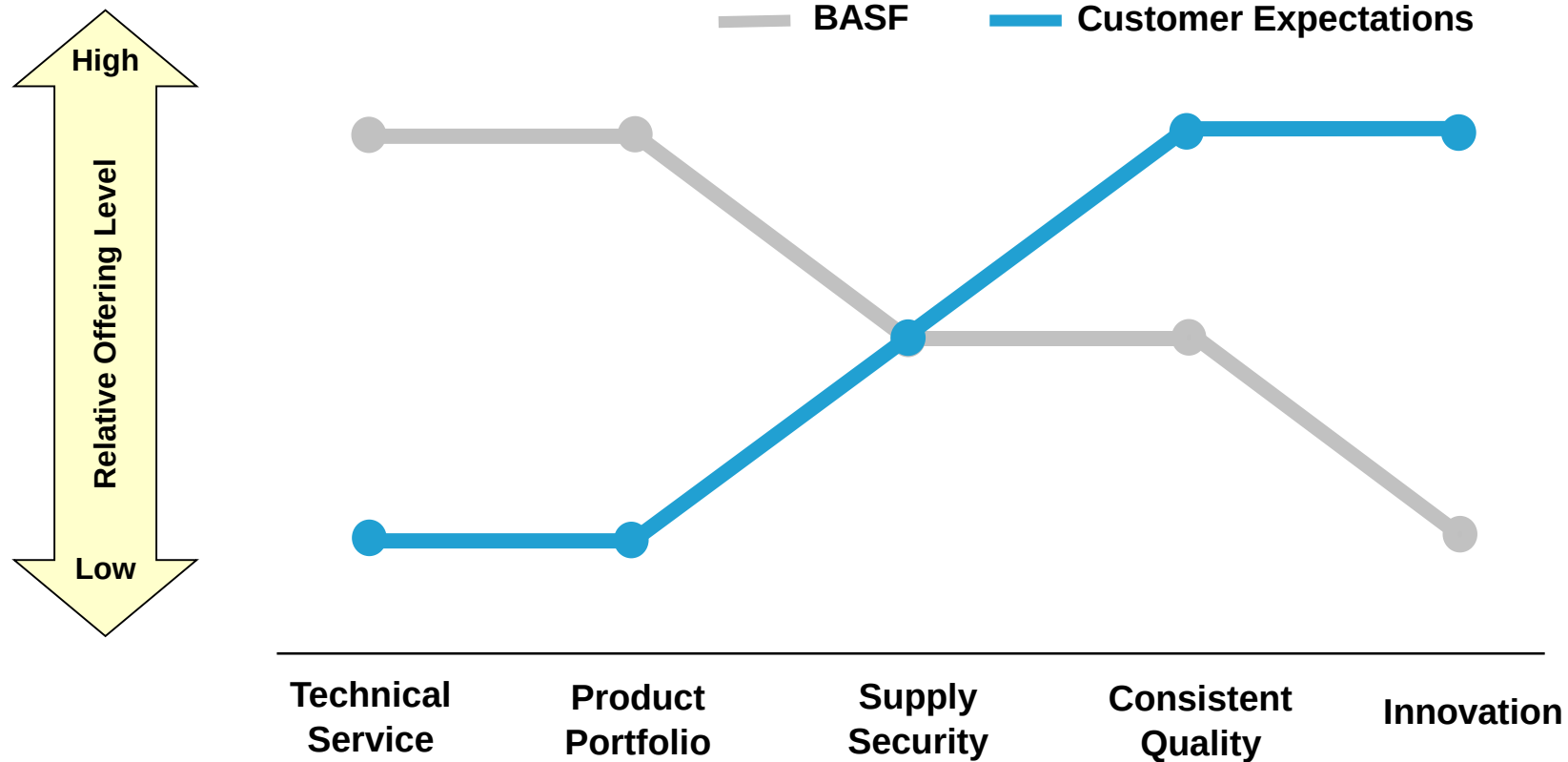


Customer focused commodity pricing

Optimized value proposition

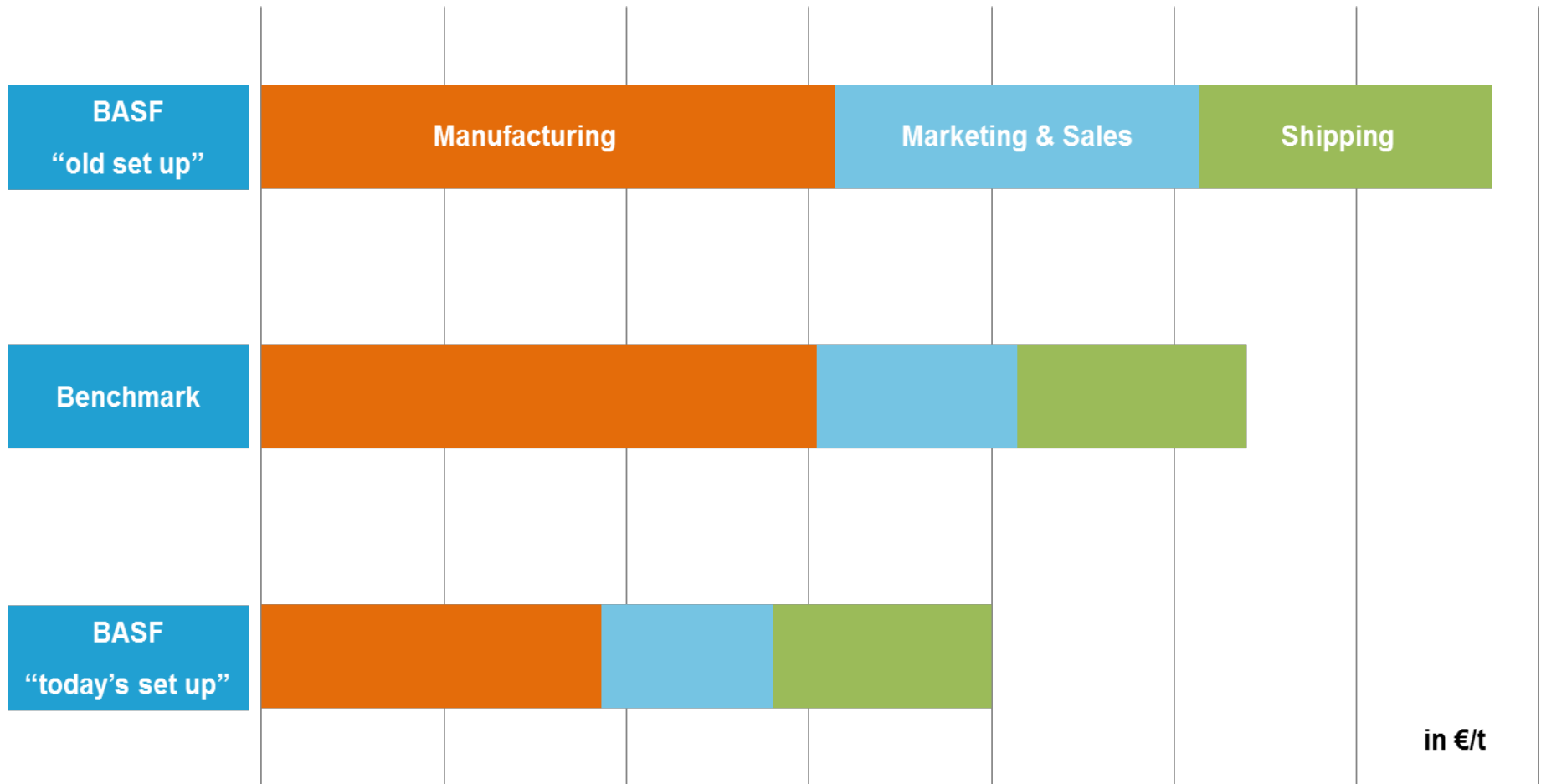
- Transparency
- Consistency of pricing logic & execution
- Optimized „Total cost of ownership“

Amino Resins Value Curve Analysis



BASF's value proposition did not match customer needs

Cost Benchmarking to determine competitiveness



Complexity reduction resulted in improved competitiveness

Cost excellence: Self-loading concept in Amino Resins



Self loading concept Amino Resins /Ludwigshafen

- Target: Radical move from full logistics service provider to loading of trucks by driver
- Restricted loading times for bulk trucks implemented
- Loading of railcars executed by third parties and service charged to customer

Customer focused commodity pricing

- Optimized value proposition

Transparency

- Consistency of pricing logic & execution
- Optimized „Total cost of ownership“

The Amino Resins Value Chain

Natural
gas



Ammonia



Urea



Melamine



Methanol



Formaldehyde



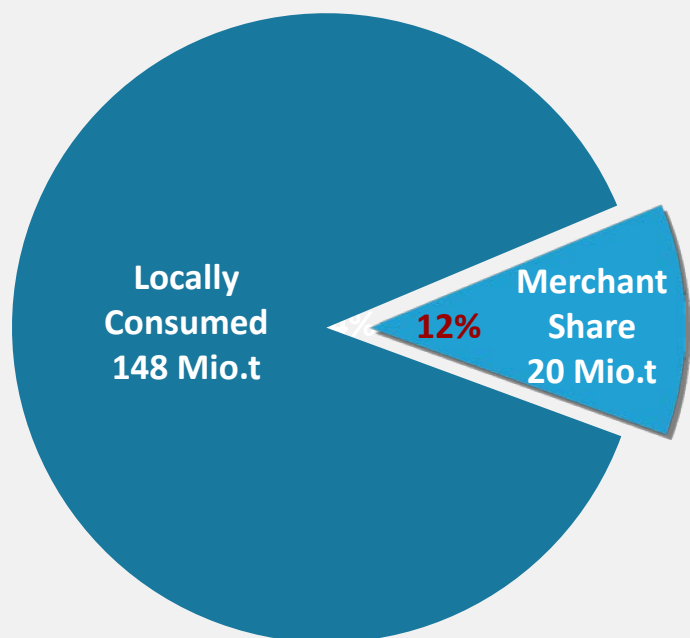
Amino Resins

Globally 4% of methanol, ammonia & urea are transferred
into Amino Resins

World Ammonia Market Characteristics

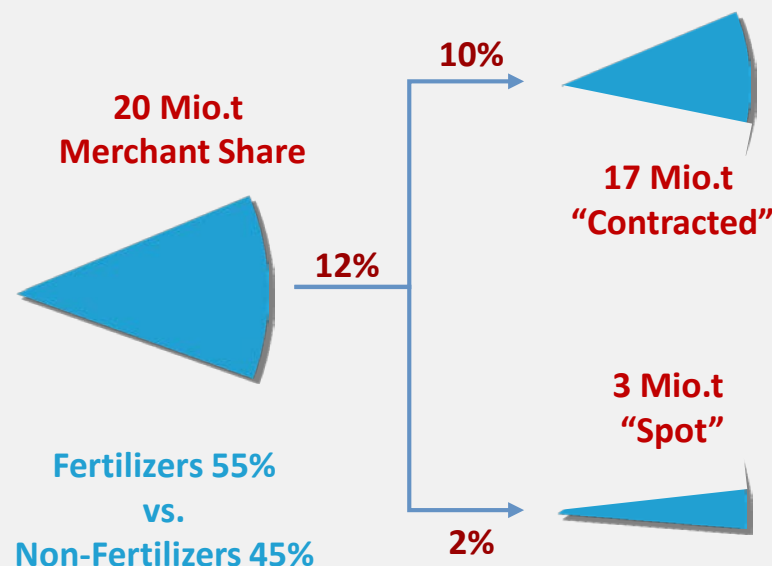
2012 World Production: 168 Mio.t

(Fertilizers 81% vs. Non-Fertilizers 19%)



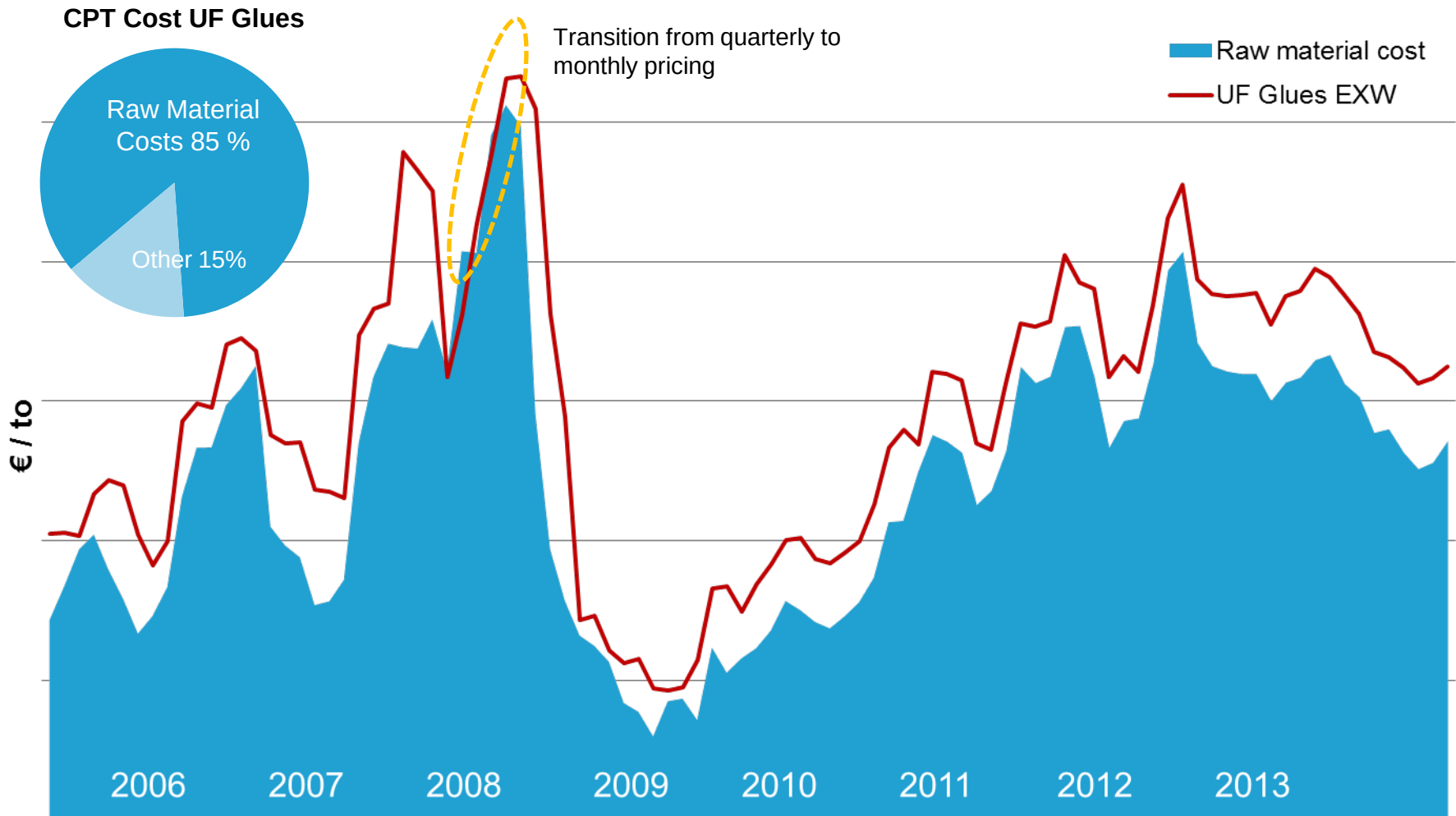
Merchant Market

(Contracted vs. Spot Quantities)



High captive consumption (integration into fertilizers)
Price level/trend set by ~ 2% of world production (spot ratio)

Amino Resin prices have to follow closely raw material fluctuations



Pricing guidelines in a supply-demand driven environment

- Do not speculate on forecast of raw material prices, do not gamble
- Prompt transfer of raw material changes is essential to preserve margins
- Do not take unnecessary risks with too long price durations
- Pricing period for sales product should be in line with volatility of most important raw materials (while making trade-off between manageability vs. margin risk)
- Price adjustment goes in both directions
- Walk the talk - especially true for the market leader!

Customer focused commodity pricing

- Optimized value proposition
- Transparency

Consistency of pricing logic & execution

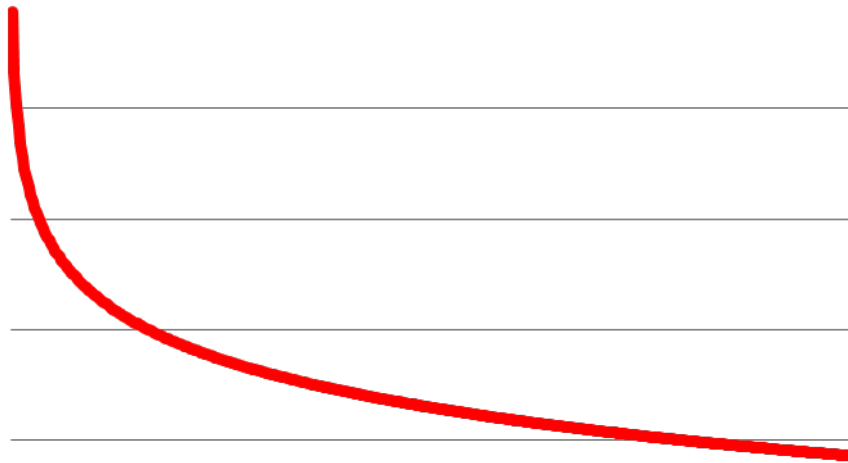
- Optimized „Total cost of ownership“

Supply / Demand balance determines price differentiation potential

2007

Price

„Balanced“



Customer's Quantity p.a.

2012

Price

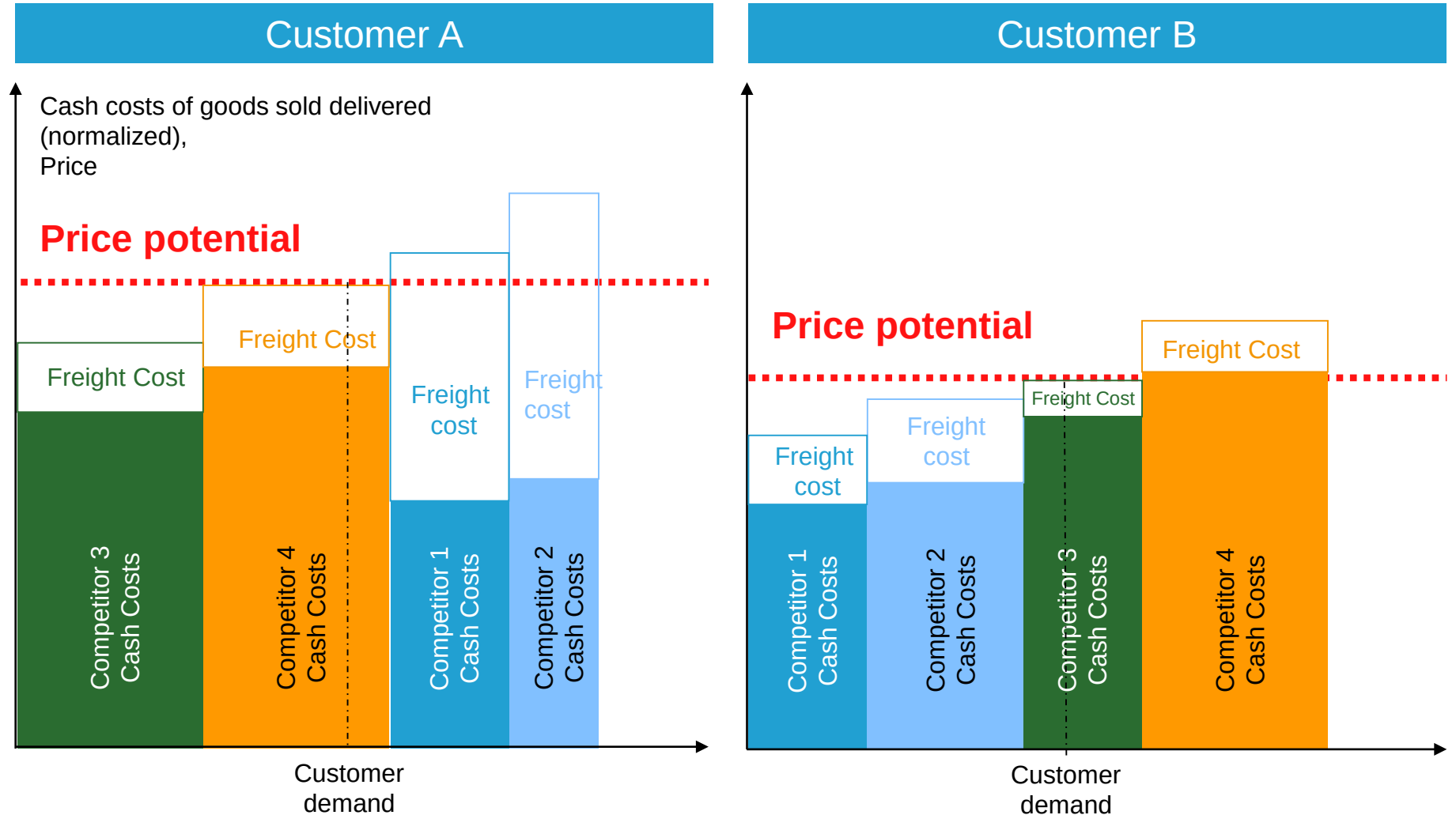
„Long“



Customer's Quantity p.a.

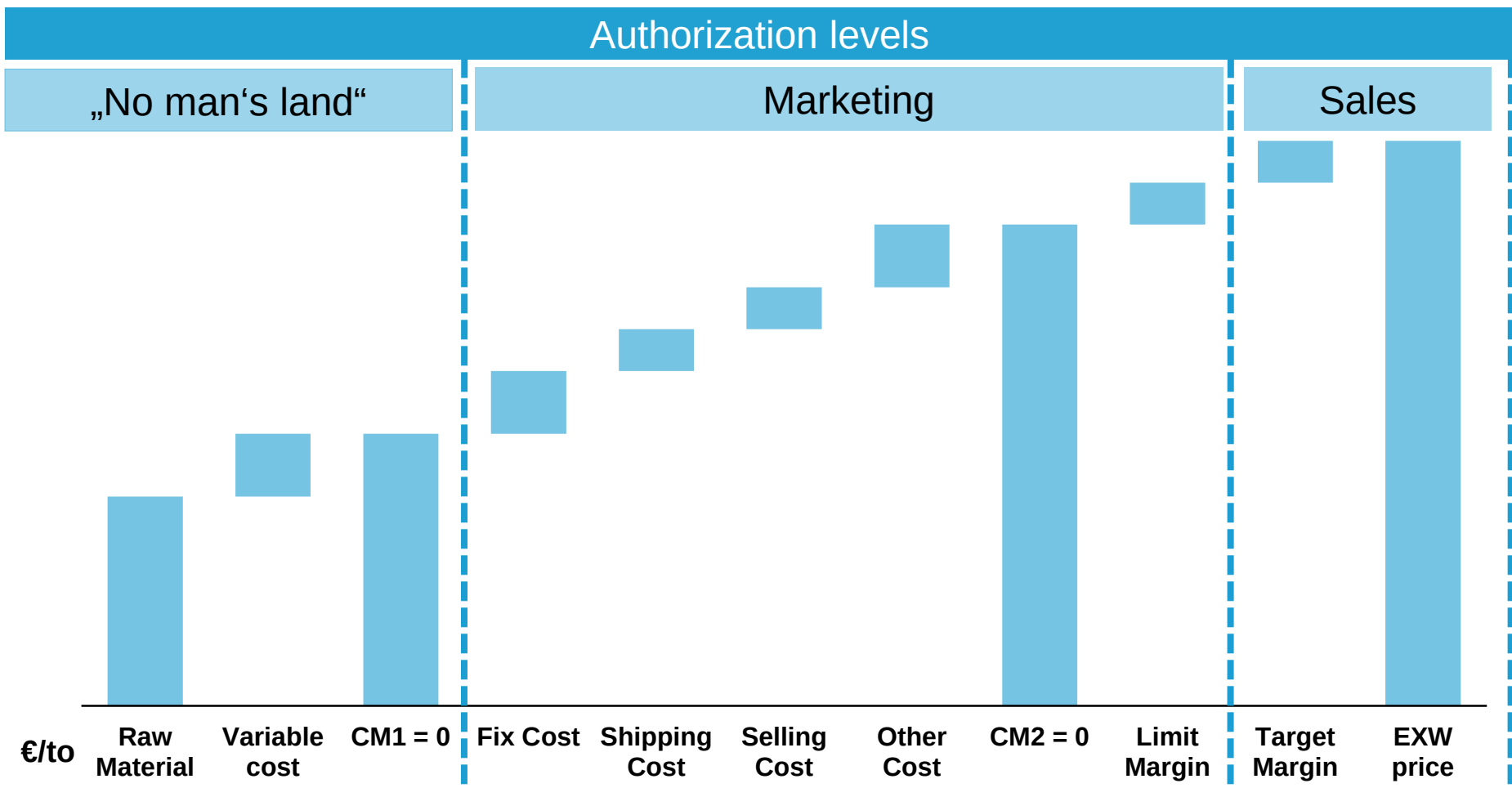
Know your value

Marginal producer concept influences price levels in a long market



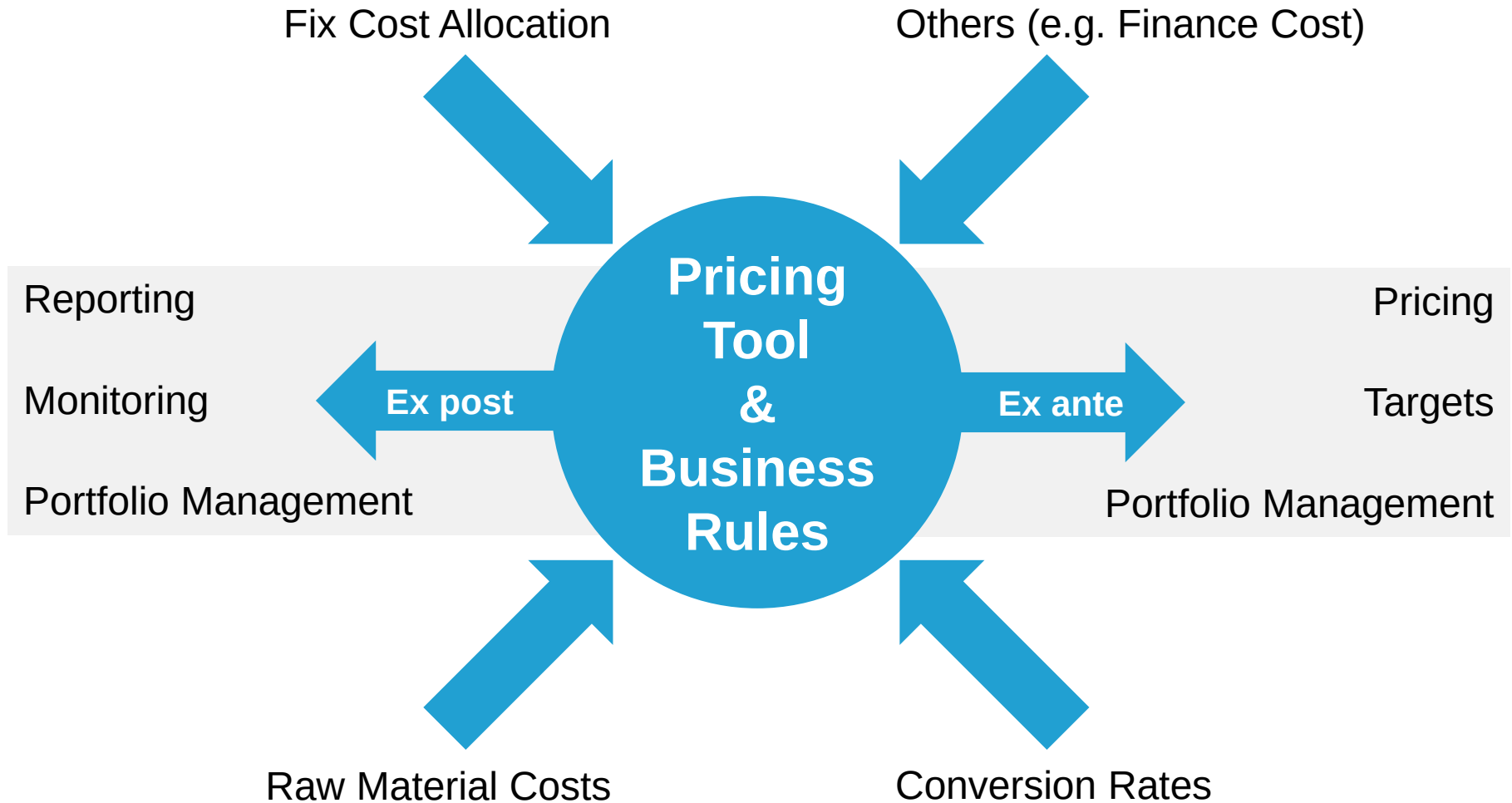
Know your cost

Cost waterfall to determine the price level



Cost transparency by product is crucial to determine target prices

Pricing Tool must be used as a central steering element



Dialogue between all functions determines optimum target price

Know your cost!

Know your value!

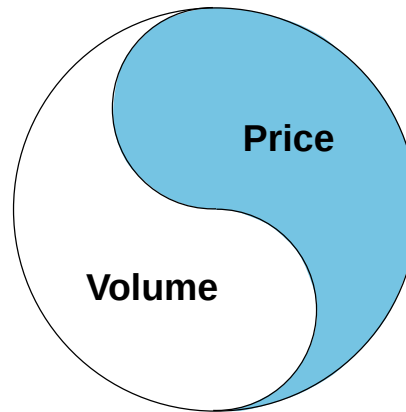
Internal Information & Company Goals

Price waterfall

Complexity

Business Rules (e.g. MOQ,
payment terms, etc.)

Profitability target



External Information & Market Expectations

Freight cost

Total cost of ownership

Competition situation

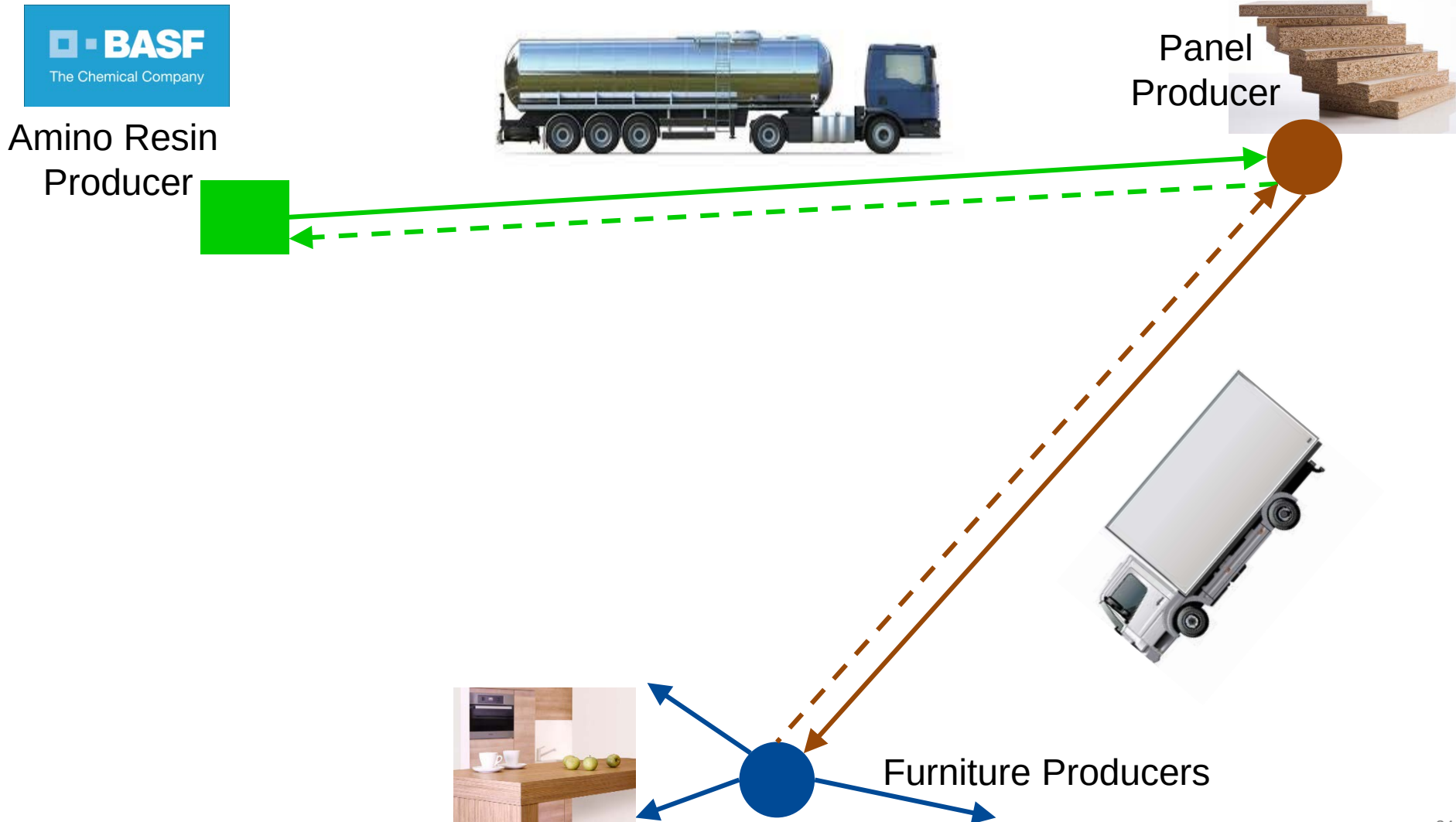
Customer situation

Customer focused commodity pricing

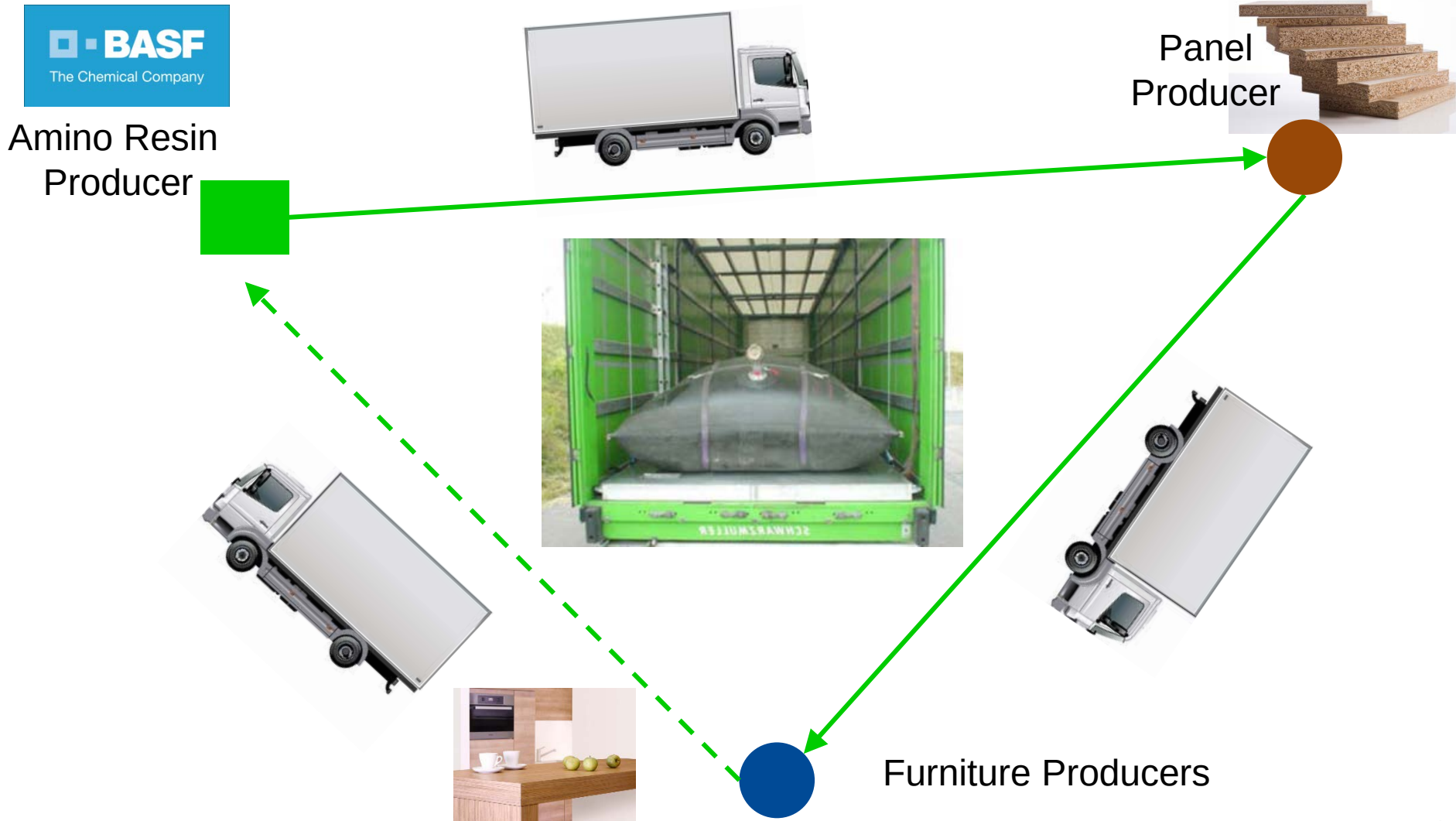
- Optimized value proposition
- Transparency
- Consistency of pricing logic & execution

Optimized „total cost of ownership“

Logistic cost are No.2 cost driver for Amino Resins / Empty truck returns add cost!



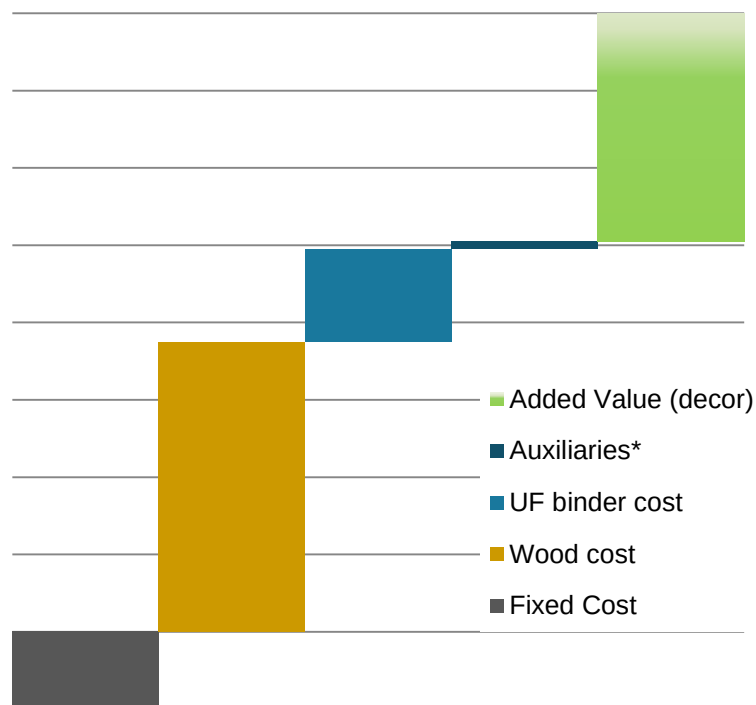
New transport concept binds customer closer to BASF and reduces cost for all parties



Co-operation for innovation

Cost structure of a panel producer

(Example)



Amino Resin Industry Approach

Value Driver

- Offer **functional additives**
e.g. improving the scratch resistance
- Create **decor** solutions
for all price-performance segments

Cost Driver

- Reduce **binder cost**
offering the most efficient binder
systems for all emission classes
- Find solutions to reduce **wood**
consumption, to compensate the
increasing wood prices
- Reduce specific **fixed cost**
creating binder systems that enhance
productivity

Jointly we can create innovations, reduce cost and grow our business

Kaurit Light Technology

Value Capturing Business Model for Innovations

The Kaurit Light Technology

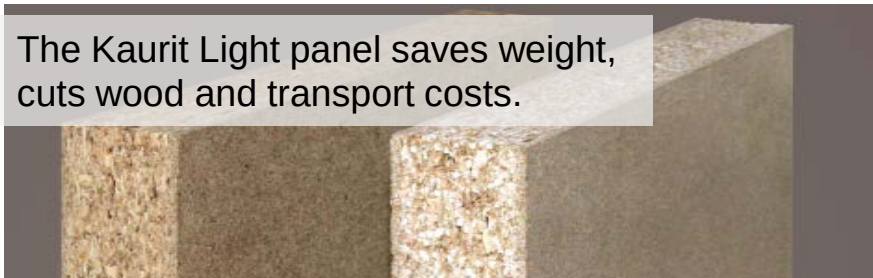
The base material is Kaurit® Light – an **expandable polymer**.



The polymer is expanded and mixed with wood chips and **glue**.



The Kaurit Light panel saves weight, cuts wood and transport costs.



The Kaurit Light Business Model*

The Business Model delivers three revenue streams

1. **Glue sales**
 - commodity product with **low entrance barrier** for competitors
 - market price
2. **Expandable polymer (=Styropor) sales**
 - commodity product with **moderate entrance barrier** for competitors
 - market price + premium
3. **License fees per unit produced by the customer (!) for IP and technical service**
 - value pricing

*for details, please refer to Gassmann, O, Frankenberger K. and Csik, M. (2014), *The Business Model Navigator*, Harlow: Pearson Education Ltd.

Competitive pricing for the raw materials,
value capturing with a license fee linked to the market success of the product



“Einfachheit ist schön, aber schwierig”

Bert Brecht